

Regulation is Needed to Enable Open Information-Friendly Business Models

There are some crucial questions that society needs to ask in today's tech controlled universe – on monopolies, on the lack of choice customers have in the tech-enabled economy, and the lack of regulatory controls over Big Business.

The WikiTribune interview 'Internet business model a risk to democracy, says ProtonMail chief' (<https://goo.gl/sgiS1d>) is worth a read.

In the US, the business model makes it remarkably easy to use a credit card. Most of the time, no PIN entry is needed. At a particular store, one checkout counter required me to enter the PIN, while an identical second counter just needed me to sign, without checking anything else about me.

Just before I was leaving the US, I got a couple of alerts that my card usage had been declined. Fortunately, there was only US\$ 10 left on the prepaid card. I came to know that some impersonator had presented my 'card' at two physical stores in the Los Angeles region, which I had visited four months earlier. My card's information could very well have been lifted in the course of some transaction I'd made in the Bay area, when I was there. But I could not find out whether it was a physical card that had been used by the fraudster or a smartphone with a proximity reader.

The point is that credit card companies give customers very little information on how their data is being collected or used. I did not have an option to insist that the PIN be mandatory. I could have used cash, but usually, it is only after the card is presented does one come to know whether a PIN is required or not.

It is becoming far too risky to assume that the data collected cannot cause harm to anyone who has nothing to hide.

Ad-supported businesses

Advertisement-supported businesses have been around a long time. We have all depended upon inexpensive magazines and newspapers, thanks to advertising revenues for the publishers. Ads have served a useful purpose as well, especially to create the initial awareness of a product or service. The current Internet model is merely following this age-old format. So is the following comment in the above article reasonable?

"The whole business model of mining data to serve ads to make money is fundamentally a flawed model."

Even newspapers and magazines collected information about their readers to sell ads. One obvious difference is the scale. The analogy of a phase change in physics seems appropriate. There are few similarities between the collection of the same molecules in a gaseous state and a liquid state.

Looking at it from the perspective of the current business models, any alternative does not seem even feasible. How much would each search on Google, every post on Facebook or a message sent on WhatsApp cost? Would it make any difference to how the system worked as a whole? The same set of companies would have the same data.

